

Published on: June 28th, 2025



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Good morning, Pro Briefers!

In early June 2025, conflict broke out between Israel and Iran - the U.S. also entered that conflict when it bombed Iranian nuclear sites.

As of this report publishing, there appears to be a ceasefire between Iran and Israel, as the U.S. looks to negotiate a peace deal.

However, tensions could rise again in the future, and as an investor, you'll want to be prepared for what could be coming next.

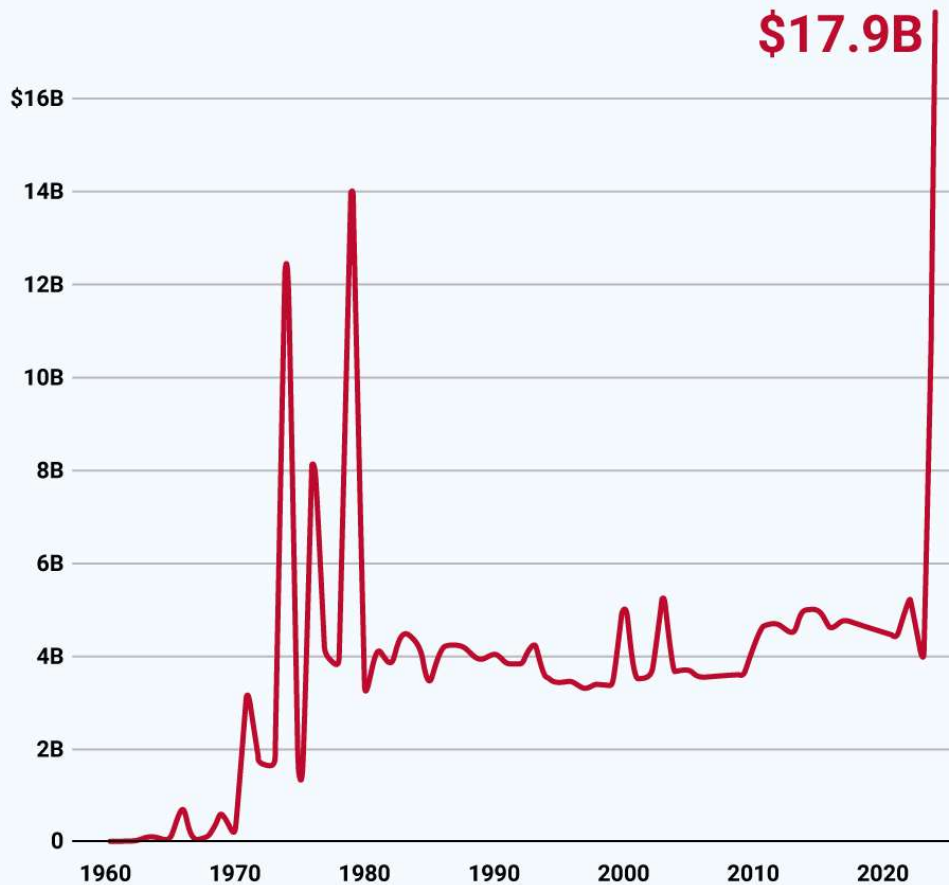
This is where we've identified a Government Shift:

Defense spending, oil tanker demand, and cybersecurity spending may all increase as the war escalates in the Middle East.

So while it looks like the conflict may be over for now, spending will likely continue.

Why? The U.S. provided almost \$18 billion in funding to Israel last year - and since 1939, the country that the U.S. has funded the most is Israel.

U.S. military aid to Israel, 1959-2024



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Data [via](#) Watson Institute of International Public Affairs

Despite the ceasefire, no official deal has been made yet, so volatility is still present in the region.

- Iran has made it more difficult for ships to travel through the Strait of Hormuz and 20% of the world's oil travels through that Strait.



Data *via* BBC

Other shifts to boost global defense are happening now as well.

For instance, in June 2025, NATO approved an increase in its defense budget.

- All member nations will now have to spend the equivalent of 5% of their GDP on defense spending every year by 2035.

To understand this Shift further, we sat down with the CCO of advanced manufacturing company 3YourMind, Alexandre Donnadieu, in an exclusive interview.

Alexandre noted that this Shift has already started:

"We've seen a definite shift for the last six months focusing into rebuilding the defense organic industrial base. It was long due and we expect this to be a game changer in Europe and for Europe to catch up with the U.S. on that."

That will lead to an increase of hundreds of billions of dollars being spent not just on defense, but on defense infrastructure, cybersecurity and more, every year.

Bottom Line: The war between Israel and Iran has increased spending from governments, companies, and investors - and that spending is likely to continue to increase, whether the Iran-Israel conflict ends soon or not.

That's creating opportunities for investors in the long-term.

How did we do? Reply directly to this newsletter to let us know how you took action with this Shift!

DEFENSE

Business of War

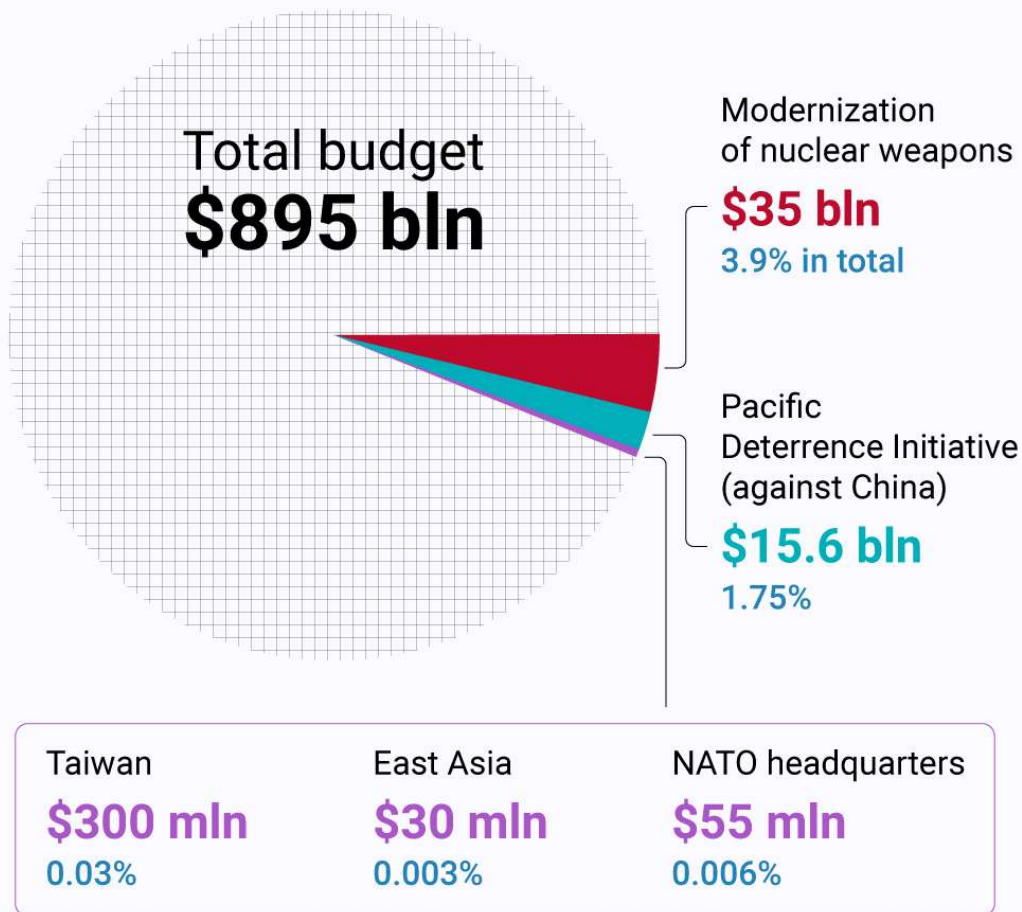
War typically leads to an increase in defense spending. And the United States spends more on its military than every other nation, combined.

Where does the spending go? Most military assets like weapons and equipment are produced by private contractors.

In short - an increase in spending budgets on defense from world governments = an increase in revenue for defense companies.

One of the most prominent defense companies in the world is RTX (RTX), which will see an increase in revenue due to escalating tensions in the Middle East.

The U.S. FY 2025 defense budget



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Data *via* Sputnik

RTX is a major producer of aerospace weapon systems - that means they make things like missiles, aircraft engines, and more.

Why RTX? President Trump says he does not want to put active military personnel on the ground in Iran or Israel, so long-range warfare with fighter jets will be key in this conflict.

- When the U.S. bombed Iranian nuclear sites, it was the largest coordinated fighter jet attack in U.S. history, according to the Trump Administration.
- RTX is also the number one producer of missiles in the world.

RTX Corporation (RTX)

YTD Price → **141.85**
(22.57%)



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Data [via](#) Yahoo! Finance

Beyond that, its state-of-the-art jet engines are used for fighter jets for the U.S. military, which means they help power and arm our nation's Airforce.

From 2023 - 2024, RTX increased its annual revenue from \$68 billion to \$80 billion, which further proves that as tensions escalate and defense budgets rise, RTX will also benefit.

RTX Corporation Revenue

Revenue in millions



 Market Briefs Pro

Data [via](#) company reports

Missiles and aircraft are a part of traditional military infrastructure - but tech like software has changed the battlefield, and allowed new companies to benefit.

L3 Harris Technologies (LHX) controls war activities from thousands of miles away with its monitoring systems.

In English: L3 makes radars, radios, and cameras that can be used by militaries and controlled remotely.

L3Harris Technologies, Inc. (LHX)

YTD Price →

246.84
(17.39%)



 **Market Briefs Pro**

Data [via](#) Yahoo! Finance

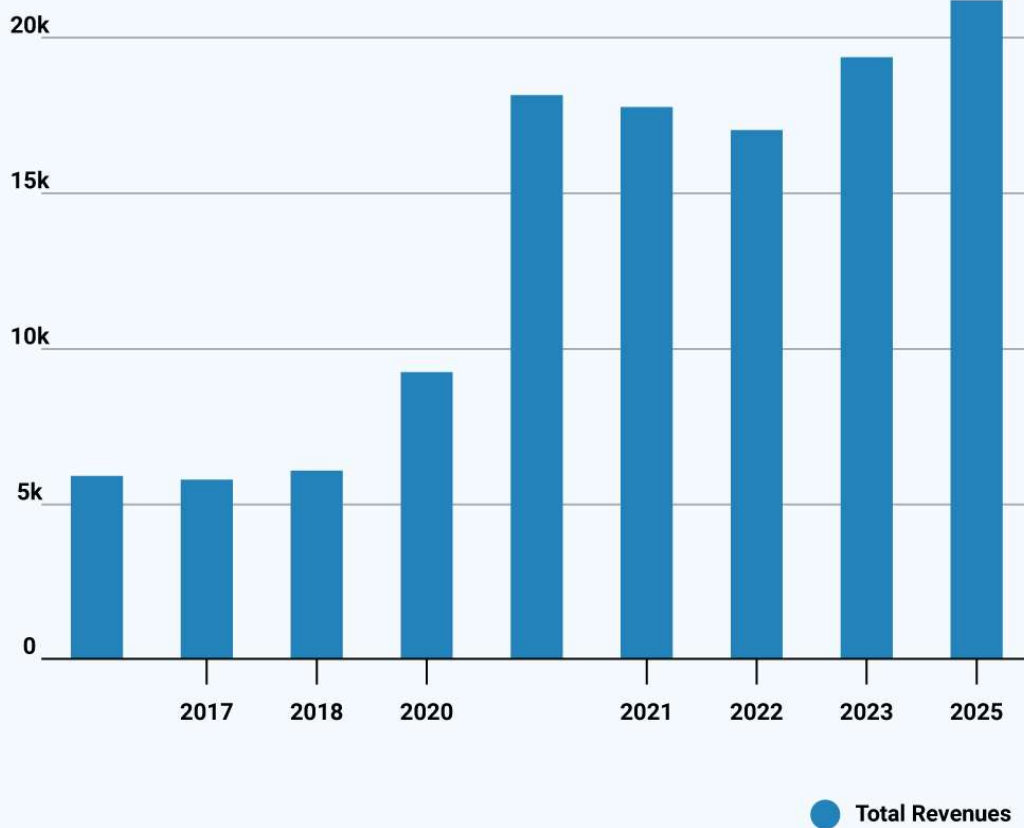
This tech is crucial to today's warfare, because it removes what experts call the "fog of war".

Breakdown: Before recently, technology only allowed militaries to fight what was in front of them.

Now, militaries are using tech from L3 to see all aspects of the battlefield - which means identifying threats in the sky, under water, underground, or even hundreds of miles away.

L3Harris Technologies Revenue

Revenue in millions



 Market Briefs Pro

Data [via](#) company reports

And while little is known about how L3's tech works, due to military disclosure laws, investors should know that militaries are increasingly turning to L3 to gain an advantage in war.

- L3 Harris saw its annual revenue increase to an all-time high of over \$21 billion in 2024, up from \$19 billion in 2023.

Investors can look to ETFs for broad exposure to the defense space as well, with opportunities in the iShares U.S. Aerospace & Defense ETF (ITA).

iShares U.S. Aerospace & Defense ETF (ITA)

YTD Price → **184.71**
(27.76%)



 **Market Briefs Pro**

Data [via](#) Yahoo! Finance

OIL TANKERS

Crude on the Move

Oil prices typically rise when tensions rise in the Middle East.

- Brent Crude oil prices shot up around 7% within a few days after the conflict began.

However, oil prices have slid by more than 6% after a ceasefire between the two countries was reached, leading to hopes that supply and demand

for oil will level out.



Data via CNBC

So, where's the opportunity? Barrels of oil still need to be transported across the world, regardless of wars.

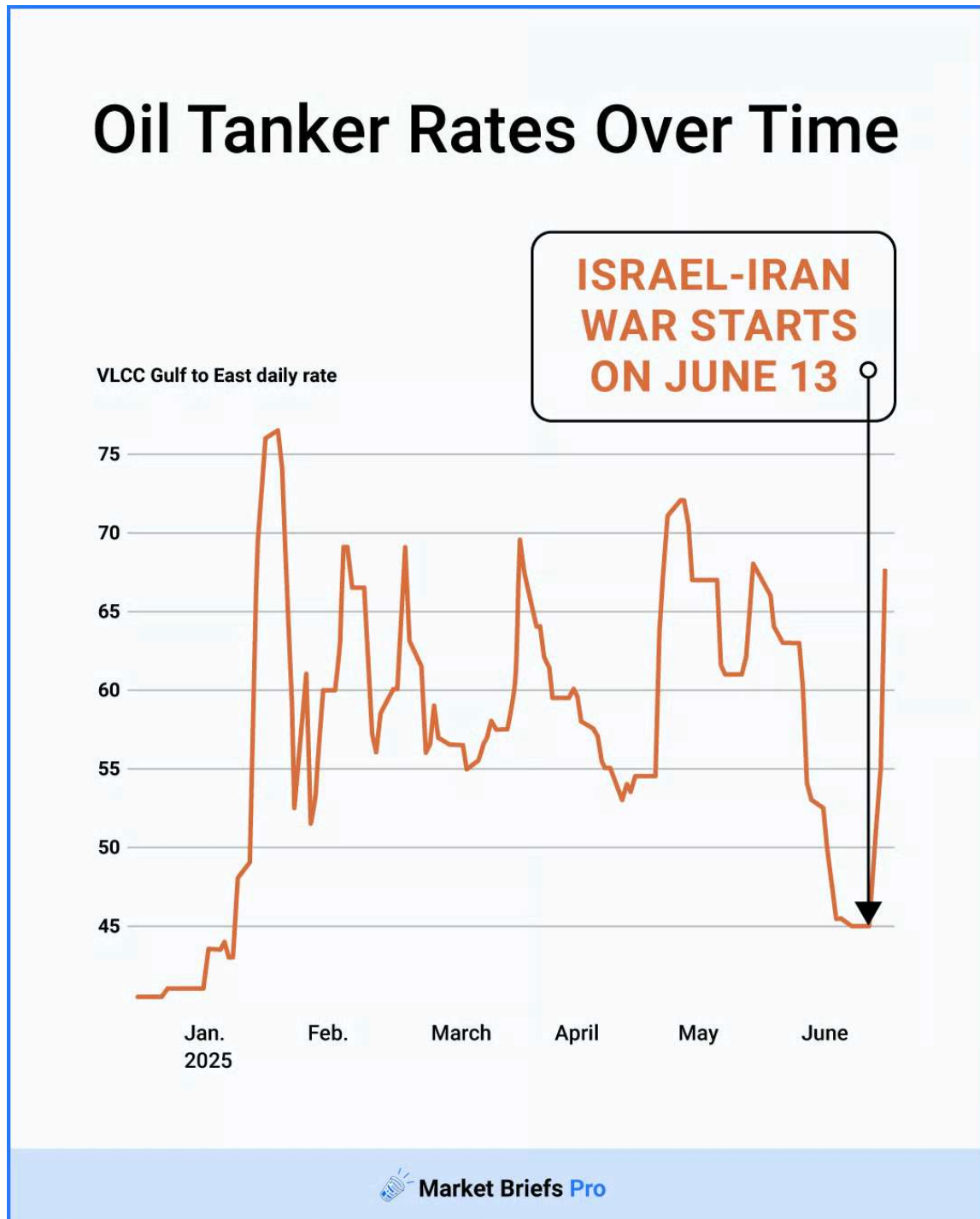
However, conflicts can sometimes make it harder to access oil.

- Europe has largely eliminated Russian oil as a source of energy due to its conflict with Ukraine.

The Iran-Israel conflict has also led to disruptions in oil shipments, with Iran using GPS jamming to make it harder for ships to travel through the Strait of Hormuz.

As a result, the price to ship oil has increased exponentially.

But since the world still needs oil to be transported, this has allowed oil tanker companies to benefit from this Shift.



Data [via](#) Reuters

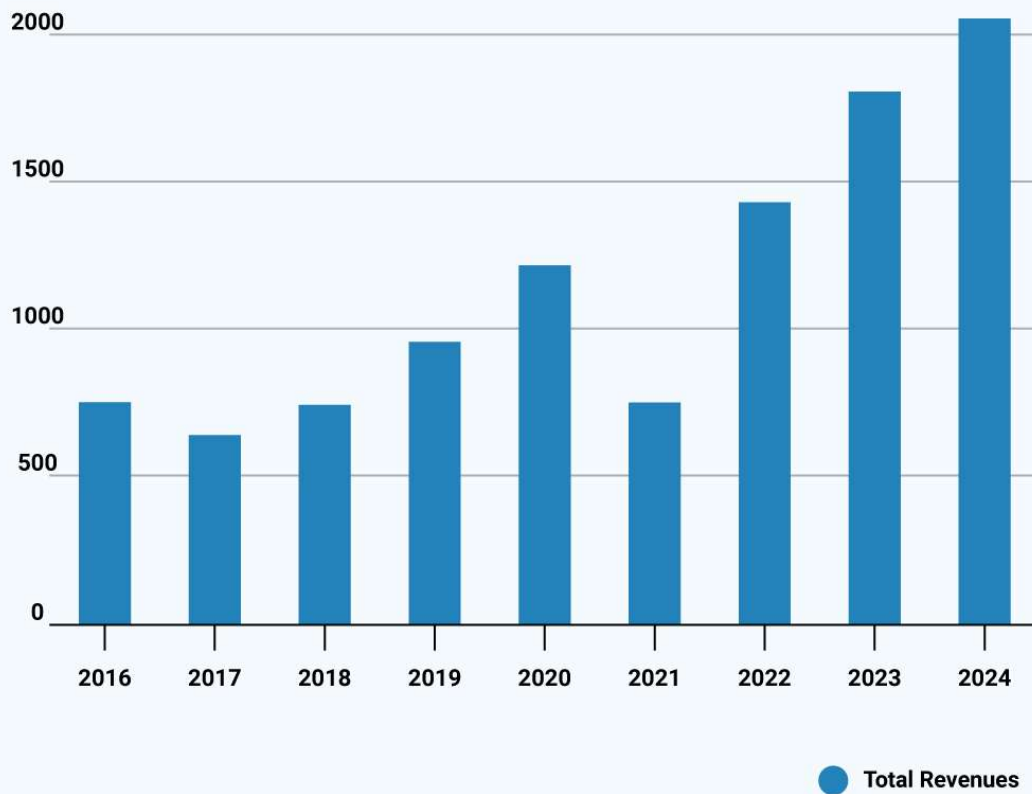
Frontline Tankers (FRO) is the fourth largest oil transportation company in the world, which has allowed it to benefit from this conflict.

- Experts expect the company to bring in 27% more in revenue this year, simply because of rising tanker rates amidst the Middle East.

Frontline has struggled to keep profit over the last few years as the company has focused on updating its large fleet of ships.

Frontline plc Revenue

Revenue in millions



 Market Briefs Pro

Data [via](#) company reports

But, this may also be its biggest opportunity for investors.

Oil tankers are on average 15-20 years old - Frontline oil tankers are much newer than that, allowing them to be eco-friendly, more efficient and carry more oil.

Other oil tanker companies have also decided to continue going through the Strait of Hormuz, despite the war and closure, which can make travel very risky.

Frontline plc (FRO)

YTD Price

17.53
(23.54%)



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Data [via](#) Yahoo! Finance

Frontline has decided to take alternative routes with most of its shipments and is one of the only oil tanker companies with the ability to do so, mainly because of its new-efficient ships.

- Shares of the company are up over 20% year-to-date as a result.

Regardless, we could see more disruptions put pressure on oil shipment prices in the future.

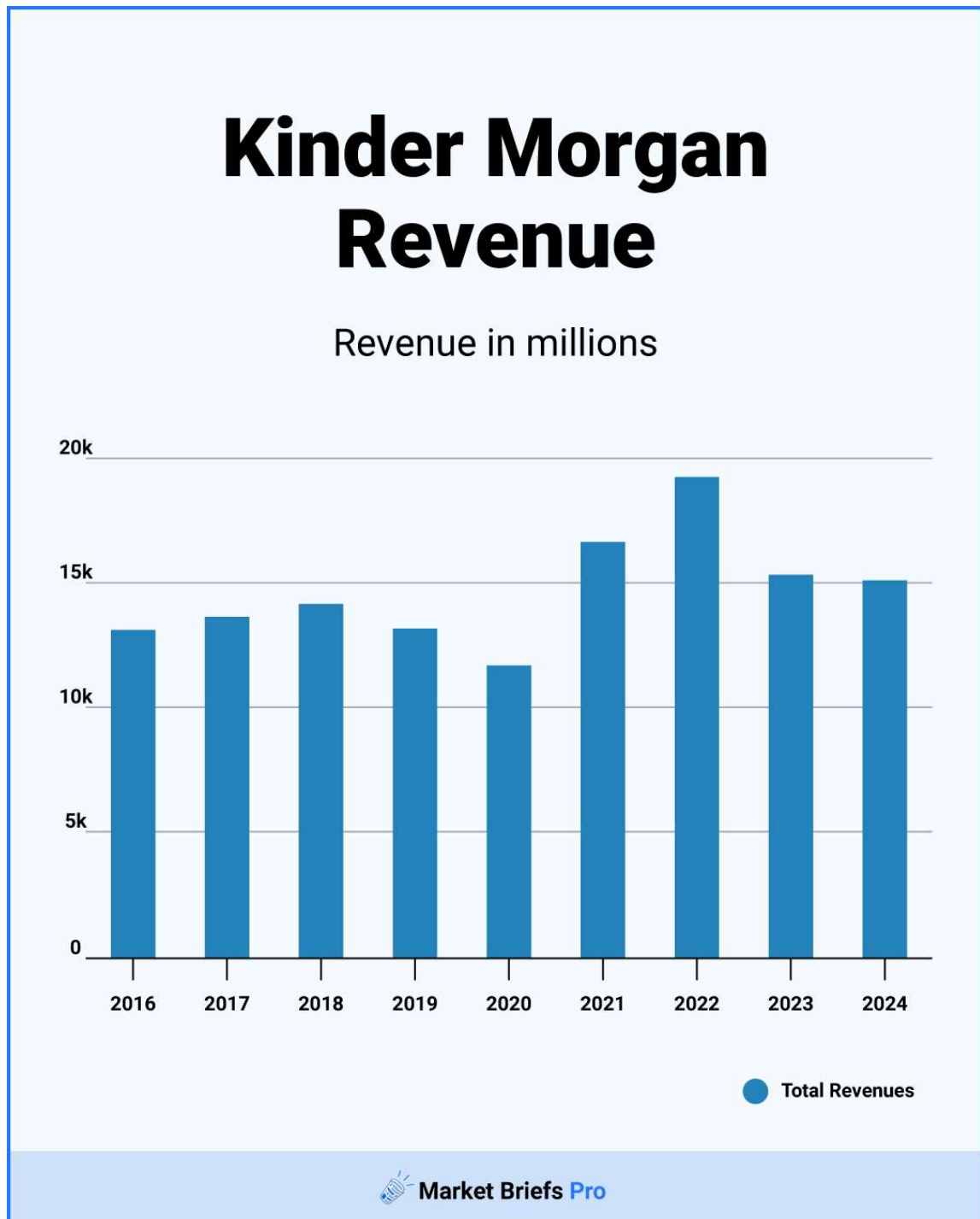
What does that mean? It may be harder to access oil from the Middle East here in the U.S.

The U.S. may need to rely more of its own infrastructure for oil because of these conflicts as a result, leading to opportunities for oil companies here at

home.

Kinder Morgan (KMI) is the largest oil transportation and oil terminal company in North America.

- Its pipelines transport oil all through the U.S. and Canada.



Data [via](#) Yahoo! Finance

Kidner Morgan owns over 83,000 miles of pipelines in North America and benefits due to demand spikes for U.S. oil.

Right now, uncertainty in the Middle East has meant more of a demand for oil transportation in the U.S. with the U.S. producing 200,000 more barrels of oil per day in 2025 compared to 2024.

Kinder Morgan, Inc. (KMI)

YTD Price



28.70
(4.80%)



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Data [via](#) Yahoo! Finance

Kinder Morgan saw its revenue fall slightly from \$15.3 billion in 2023 to \$15.1 billion in 2024, but the company said it expects to see a bounceback of 4% growth in revenue this year.

There are also broad market opportunities investors can benefit from in the oil tanker and transportation industry, like from the Breakwave Tanker Shipping ETF (BWET).

Breakwave Tanker Shipping ETF (BWET)

YTD Price



10.57
(6.61%)



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Data [via](#) Yahoo! Finance

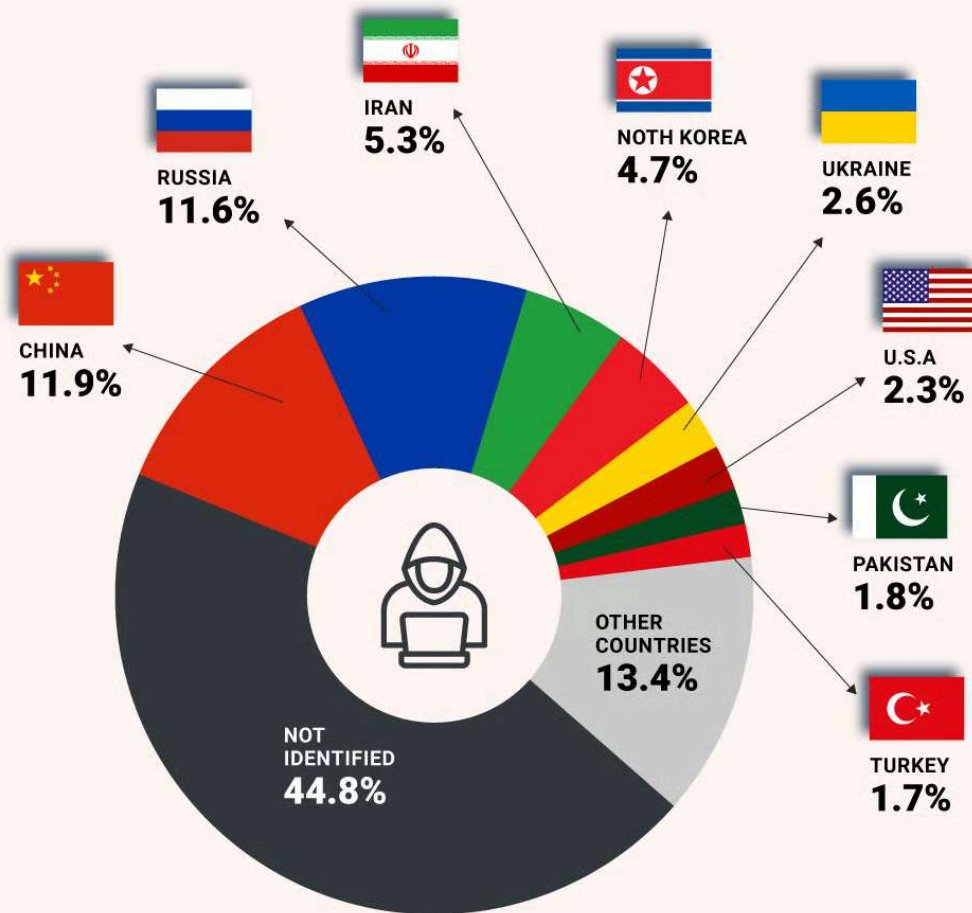
CYBERSECURITY

Digital Defense Ramps Up

After the U.S. entered the war between Iran and Israel, the Department of Homeland Security warned American businesses that there could soon be a rise in pro-Iranian cyber hackers.

Why? Iran is home to a large network of cyber hackers that act independently and sometimes alongside the government of Iran.

Who's Behind Cyber Attacks (2000-2023)



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Data [via Statista](#)

"Cybersecurity is still obviously a huge topic. Jamming is happening and is increasing. So if you are able to have more autonomous systems like drones and so on that are able to operate by themselves, you want [the least amount] without communications interference possible." - Alexandre Donnadieu.

Over half of all U.S. businesses have no cybersecurity at all - and even outside of this, the U.S. is the number one most targeted country for cyber attacks.

The U.S. The Department of Defense has recognized this vulnerability and is increasing spending to fix it.

- The DOD has an annual budget of \$30 billion to spend on cybersecurity, which accounts for 3% of its entire annual budget.

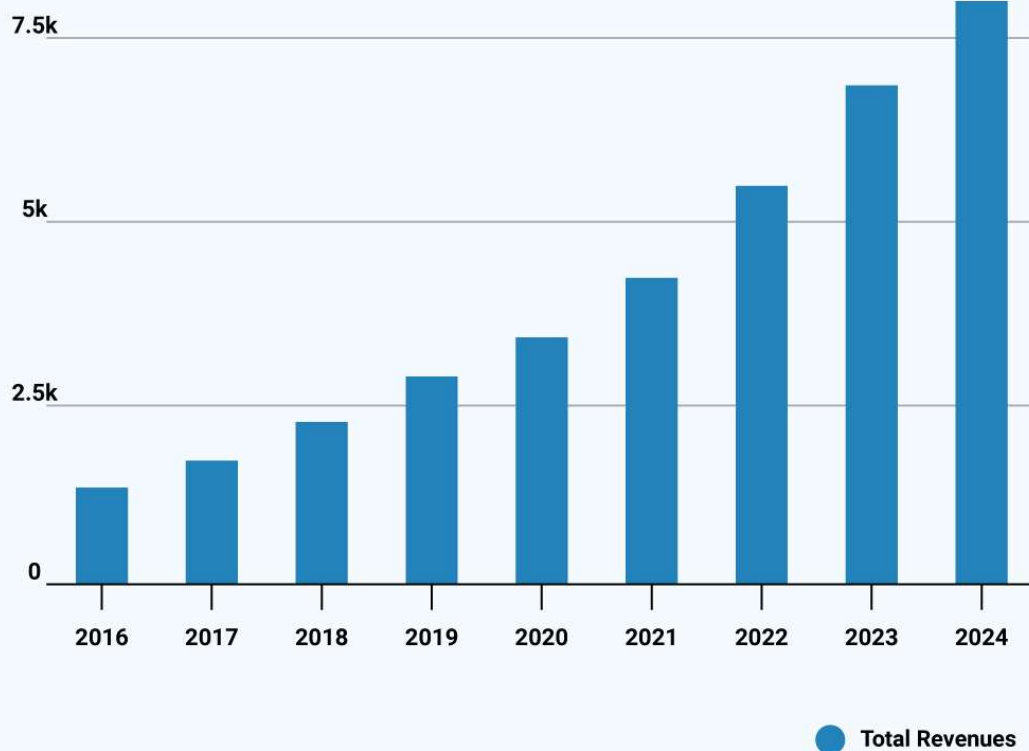
But just like traditional defense, the government contracts out its cybersecurity needs to individual companies.

Those companies are seeing a rise in demand due to the ongoing Iran-Israel conflict.

Palo Alto Networks (PANW) is one of the largest cybersecurity contractors for the federal government right now - 50-60% of its revenue annually comes from the Department of Defense.

Palo Alto Networks Revenue

Revenue in millions



- In 2022, the company signed a \$67 million contract with the federal government and is currently working on a new five year \$1 billion deal.

What do they do? Palo Alto protects federal services with its anti-virus software and also creates custom firewalls for cloud networks.

It also has advanced identification software that federal employees must go through in order to access databases - think two-factor authentication, but even more intense.

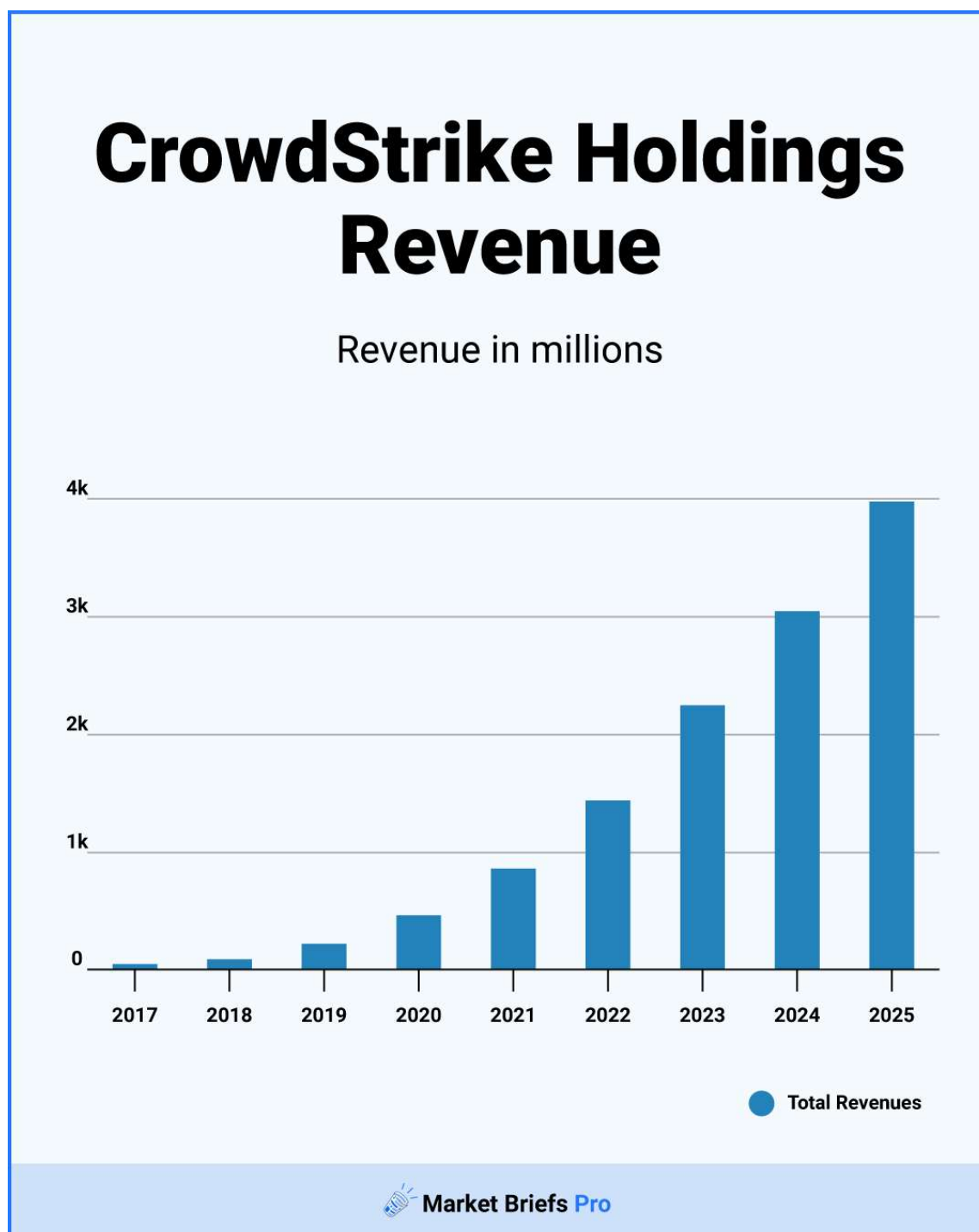


Data via Yahoo! Finance

Palo Alto has worked with the DOD for the last decade as well, building a strong partnership that will make them a likely choice for the federal government to tap again for cybersecurity needs.

While Palo Alto stops cyber threats at the source, CrowdStrike (CRWD) detects them before they even happen.

Similar to Palo Alto, CrowdStrike is a premier cybersecurity company that has only recently started working with the Federal government.



Data [via](#) company reports

- In 2022, it earned just \$15 million from its DOD contracts - by 2023, that number reached \$55 million.

The reason? The DOD increased its orders for CrowdStrike's services, particularly for its Falcon Platform.

This cybersecurity tool has a powerful built-in sensor that detects potential cyber threats and even investigates them, all before they become an issue.

CrowdStrike Holdings, Inc. (CRWD)

YTD Price

485.38
(41.86%)



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Data [via](#) Yahoo! Finance

It does this through agentic AI, which is basically an AI that can make decisions and act on its own.

These agents constantly search for threats and act independently to solve them proactively.

- A study from Forrester showed that customers see a 403% average return on their investment by using the Falcon Platform from CrowdStrike.

There are several cybersecurity ETFs investors can buy shares in to gain exposure to this Shift as well.

First Trust NASDAQ Cybersecurity ETF (CIBR)

YTD Price



74.81
(17.24%)



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Data [via](#) Yahoo! Finance

One of the largest by total assets under management is the First Trust NASDAQ Cybersecurity ETF (CIBR), which is up over 17% YTD, higher than the 4.35% increase from the S&P 500.

RISKS

Uncertainty Ahead

This Shift has created several opportunities for investors, but there are also some risks to be aware of:

Defense spending comes from the federal government - there's always a chance future governments could lower defense spending.

- President Obama lowered the defense budget from \$728 billion in 2009 to \$651 billion during his time in office.

In addition, the Iran-Israel conflict could be short lived, leading to little change in how much the Department of Defense spends on it.

The U.S. may continue funding Israel, but there's no guarantee of that.

Lastly, foreign countries like Germany may start to fund European defense companies instead of American ones.

So as NATO countries increase their budget, spending could instead flow to names like Airbus or BAE Systems, which have a much stronger presence in Europe than their American counterparts.

REVIEW

War and Wealth Building

While there's a chance the Iran-Israel conflict that the U.S. has entered could end soon, one thing is clear: Volatility in the region will still remain.

Most of the world's oil is produced in the Middle East, so regardless of the conditions, oil needs to find its way to the other parts of the world that need it.

That's leading to opportunities for oil tankers and pipeline companies that move oil from one place to another.

Volatility also creates more demand and spending on weapon systems and cybersecurity, which are vital during times of conflict.

Defense tech is also changing - as highlighted by Alexandre Donnadieu:

"Being able to create a fast-paced drone production system on the ground with fast iterations and innovative systems and components is key and the DOD is seeing this as one of the next big opportunities for investment."

Investors will want to keep an eye on this Shift as it develops globally, as well as the several long-term opportunities it's creating in defense, oil



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